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Cash Flow Management Basics

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Your Presenter



Alberto Casadei is a seasoned engineer with extensive experience in the energy sector. He holds an MBA, a degree in Mechanical Engineering, and advanced degrees in Nuclear Engineering. Before retiring, he worked at Westinghouse Electric Company, where he held senior roles in Engineering Management, Product Development, and Business Development, both domestically and internationally. Additionally, he served as a consultant for the International Atomic Energy Agency (IAEA), providing expertise in Nuclear Fuel Management and Core Design for commercial nuclear power plants in China and South Korea.

Since 2013, Al has been a certified mentor with SCORE, where he supports entrepreneurs and promotes business growth.

Cash Flow Management Basics

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Topics

- Business Financial Statements
- Understanding and Managing Cash Flow
- Cash Flow Optimization Strategies
- Financial Management
- Key Takeaways
- Q&A

Business Financial Statements

Financial Statements describe the state of your business

Income Statement

(Profit & Loss Statement)

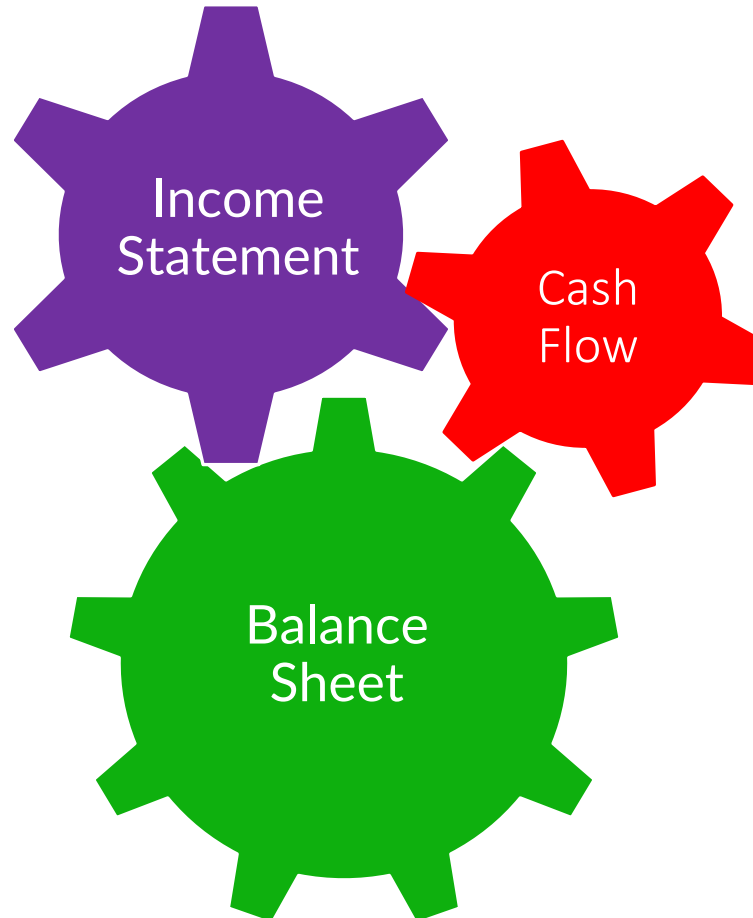
summarizes the revenues, costs and expenses during a specified period

Are you making a profit?

Balance Sheet

It reports a company's assets, liabilities, and equity at a single moment in time.

Is the business building wealth?



Cash Flow Statement

It tracks the inflow and outflow of **cash** resulting from operating, investing and financing activities during a given time period

Is there enough cash to run the business?

Types of Accounting and Their Roles

Past (results)



FINANCIAL ACCOUNTING

Summarizes historical financial data

Creates financial statements

Actual Business Results

GAAP rules and standards

Accountant/Software

External to Company

Quarterly/Yearly

Purpose

Role

Data

Assumptions

Who Performs

Users

Frequency

Types of Accounting and Their Roles



FINANCIAL ACCOUNTING		MANAGEMENT ACCOUNTING	
Summarizes historical financial data	Purpose	Focuses on internal decision-making	
Creates financial statements	Role	Generates financial information for strategic decisions	
Actual Business Results	Data	Forecast Business Results	
GAAP rules and standards	Assumptions	Management Assumptions	
Accountant/Software	Who Performs	Owner/Manager	
External to Company	Users	Internal to Company	
Quarterly/Yearly	Frequency	As-Needed	

Understanding and Managing Cash Flow

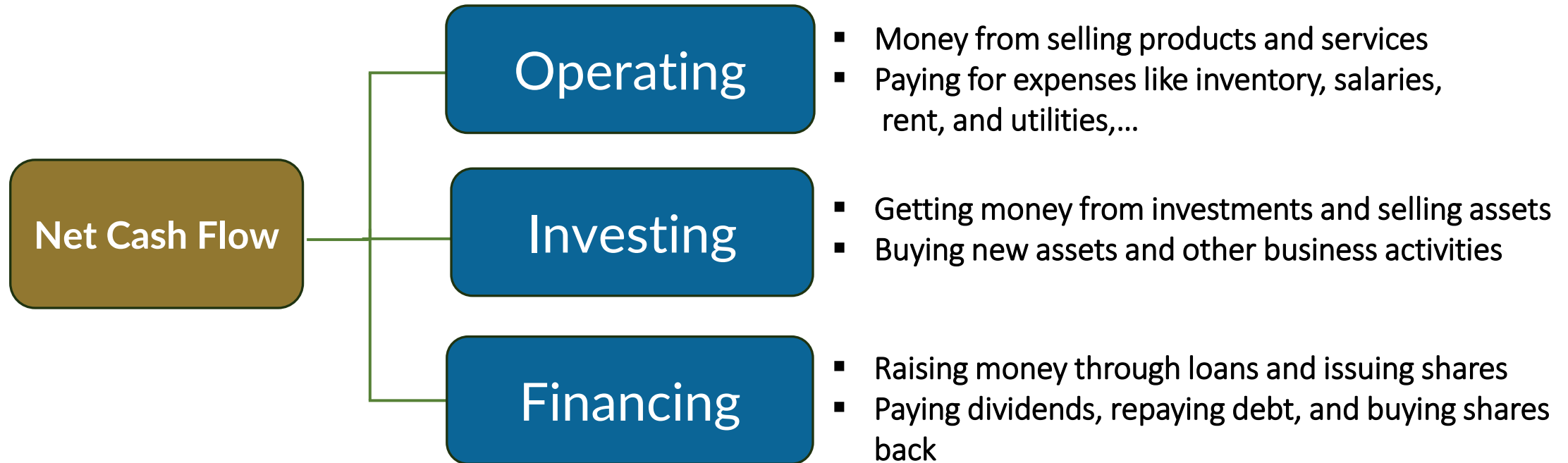
Cash Flow

Cash flow is the movement of money into and out of your business during a defined period of time

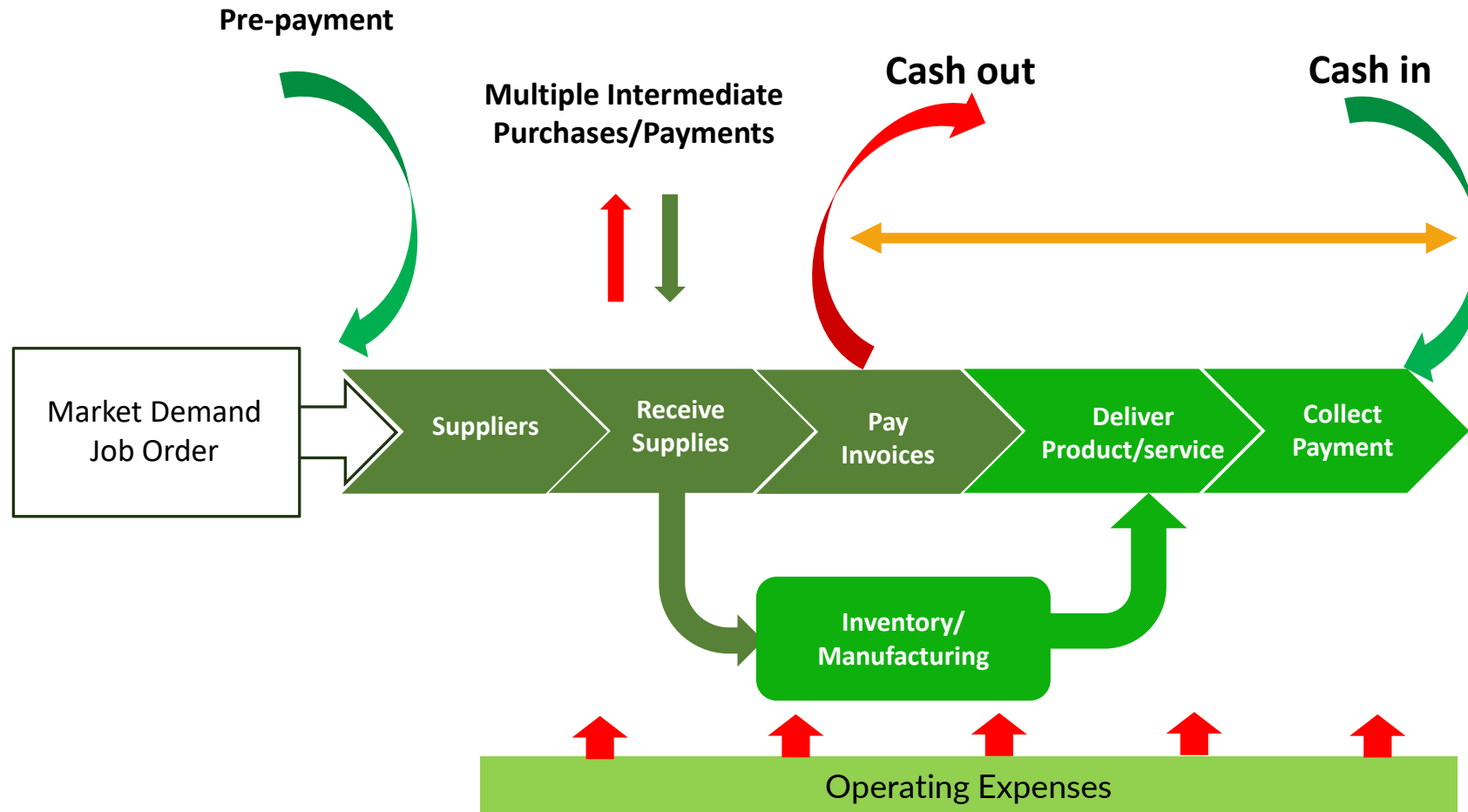
The Critical Role of Cash Flow in Business Success

- **Ensuring Financial Health:** Understanding and managing the generation and usage of cash effectively.
- **Supporting Growth and Resilience:** Adequate cash flow allows businesses to fund expansions, handle emergencies, and navigate uncertainties.
- **Maintaining Operational Stability:** It ensures timely payment of bills, employee salaries, and essential expenses.
- **Preventing Business Failure:** Addressing cash flow gaps is critical, as they are a common cause of business closures

Cash Flow Components



Operating Cash Flow Cycle

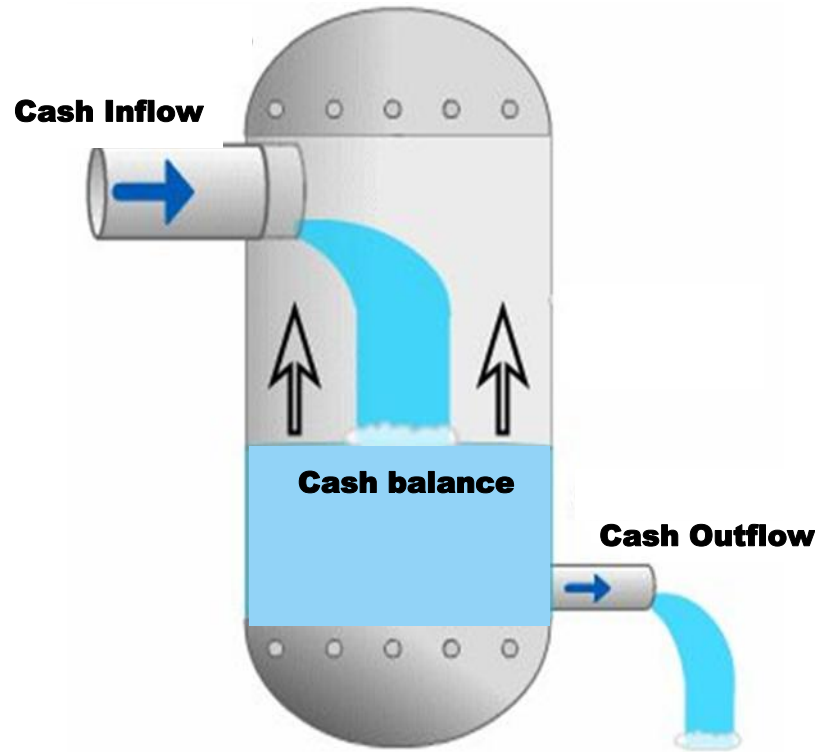


Cash Flow Management

- Effective cash flow management involves the **monitoring, controlling, and optimizing** of an organization's financial inflows and outflows.
- The aim is to guarantee that the organization has sufficient cash to address its **immediate and future requirements**.

Cash Flow Management

Key reasons for CF Problems



- Inadequate Planning
- Low Profitability
- Uncontrolled Business Growth
- Bad Inventory Management
- Late Client Payment
- Insufficient cash reserve

Cash Flow Forecast and Monitoring

Period: 2Q 20XX

Category	Description	Amount
	Beginning Cash Balance	\$10,000

Cash Flow Forecast and Monitoring

Period: 2Q 20XX

Category	Description	Amount
Beginning Cash Balance		\$10,000
OPERATIONS		
Sales Revenue	Cash from selling goods or services	\$100,000
COGS	Cash for the materials and labor to produce the goods or services	(\$40,000)
Operating Expenses	Cash for the general and administrative expenses	(\$20,000)
Interest Expense	Cash for the interest on loans	(\$5,000)
Income Tax	Cash for the taxes	(\$10,000)
Cash flow from Operations		\$25,000

Cash Flow Forecast and Monitoring

Category	Description	Amount
INVESTING		
Purchase of equipment	Cash for buying new equipment	(\$30,000)
Sale of land	Cash from selling land	\$10,000
	Cash flow from Investing	(\$20,000)
FINANCING		
Dividends paid	Cash for shareholders	(\$10,000)
	Cash Flow from Financing	(\$10,000)
Net Cash Flow	$\$25,000 + (\$20,000) + (\$10,000)$	(\$5,000)
Ending Cash Balance		\$5,000

Cash Flow Optimization Strategies

Accounts Receivable Management

Timely Payments

Implement efficient invoicing systems to ensure prompt customer payments.

Offer discount for early payment

Restrict credit policy

Follow-up Procedures

Establish robust follow-up and collection procedures for overdue accounts.

Customer Relationships

Maintain positive customer relationships while ensuring timely payments.

Accounts Payable Optimization



Negotiate Terms

Secure favorable payment terms from suppliers



Early Payment Discounts

Take advantage of early payment discounts when possible



Vendor Relationships

Build strong relationships with vendors for better terms.

Inventory Control

Optimal Levels

Maintain optimal inventory levels to balance cash flow and demand

Just-in-time ordering

Implement just-in-time ordering to reduce excess stock.

Minimize Obsolescence

Reduce obsolete or slow-moving stock to free up cash.

Cash Flow Forecasting



Analyze Expenses

Optimize COGS and
Identify/reduce non-essential
expenses



Supplier Negotiations

Negotiate better deals with
suppliers



Leverage Technology

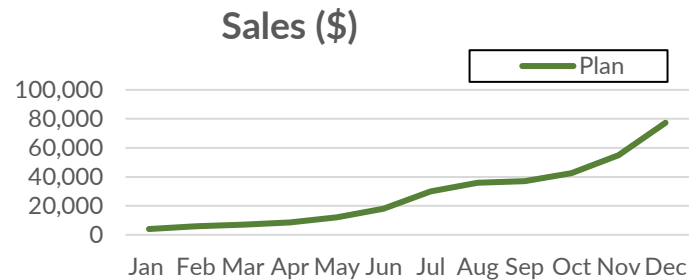
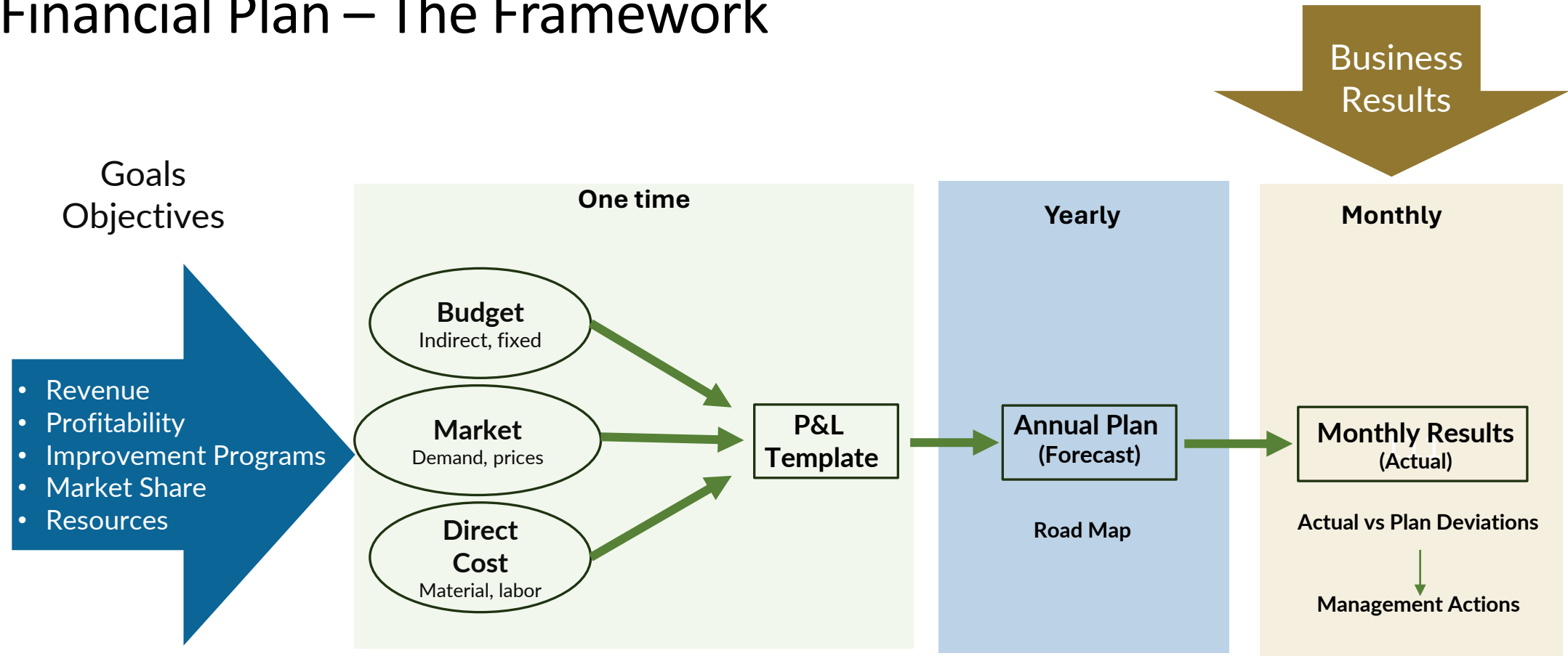
Streamline and automate
operations for efficiency.

Financial Management

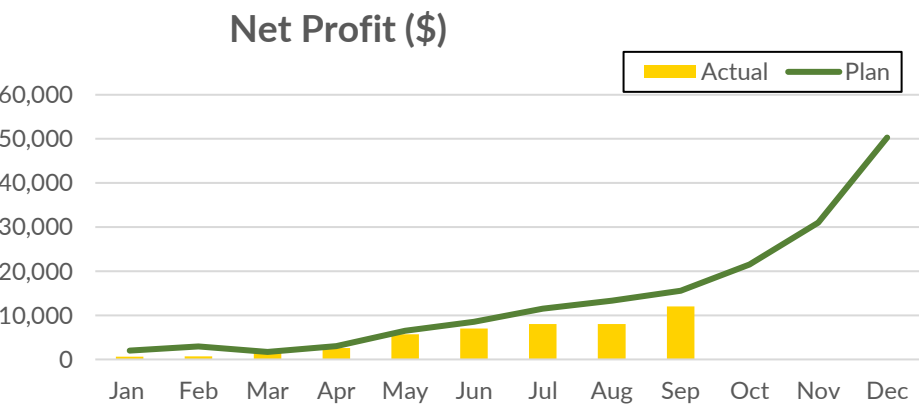
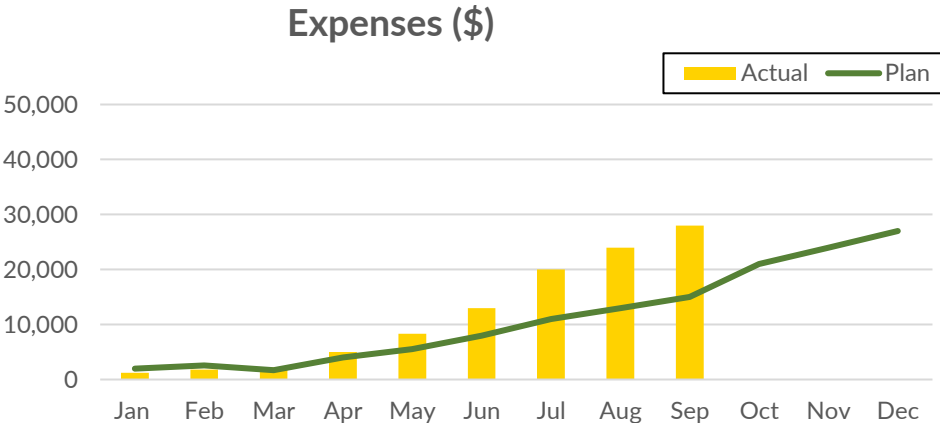
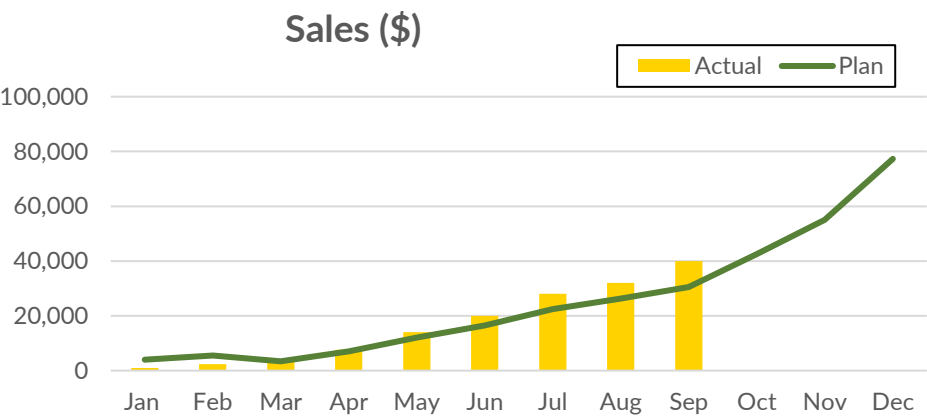
Integrated Financial Management Framework

- **Establish a Yearly Financial Plan:** forecast future business according to growth objectives
- **Monthly Follow up Review:** Regularly review your P&L to understand overall profitability
- **Cash Flow Forecast:** monthly revision to forecast future needs of cash

Financial Plan – The Framework



Financial Plan



Steps to Managing Cash Flow

1. Implement a Disciplined Planning Process:

- Create a 3-month look-ahead cash flow framework to project revenues and expenses.
- Some businesses may need to be done weekly, covering a 13- week span.

2. Conduct a 3-Month Rolling Analysis:

- Update the framework regularly with actual results.
- Compare your forecasts with actual outcomes to identify variances

3. Understand Cash Flow Results:

- Analyze forecasts to pinpoint potential issues.
- Take proactive steps to avoid cash shortages.

Use a Simple Template:

- Ensure the template aligns with your Profit & Loss (P&L) statement.
- Simplify by consolidating certain expenses, if appropriate.

Cash Flow Forecast Simulation

Starting point

		Estimate	Estimate	Estimate		
		Month 1	Month 2	Month 3	Month 4	Month 5
Inflow Cash						
Revenue						
Loan						
Inflow Total						
Outflow Cash						
Rental						
Payroll						
Utilities						
Professional Services						
Materials						
New equipment						
Outflow Total						
Net Cash Flow						
Beginning Balance						
Ending Balance	1,000					

Step 1 - Initial 3-month forecast

		Estimate	Estimate	Estimate		
		Month 1	Month 2	Month 3	Month 4	Month 5
Inflow Cash						
Revenue		10,000	20,000	21,000		
Loan		15,000				
Inflow Total		25,000	20,000	21,000		
Outflow Cash						
Rental		(1,000)	(1,500)	(1,500)		
Payroll		(3,000)	(4,000)	(5,000)		
Utilities		(2,500)	(2,500)	(2,500)		
Professional Services		(5,000)	(500)	(1,000)		
Materials		(12,000)	(12,000)	(12,500)		
New equipment						
Outflow Total		(23,500)	(20,500)	(22,500)		
Net Cash Flow		1,500	(500)	(1,500)		
Beginning Balance		1,000	2,500	2,000		
Ending Balance	1,000	2,500	2,000	500		

Watch!

**Cash Flow Negative
and growing**

Step 2 – Add Month 4

		Actual	Estimate	Estimate	Estimate	
		Month 1	Month 2	Month 3	Month 4	Month 5
Inflow Cash						
Revenue		12,000	19,000	21,000	40,000	
Loan		15,000				
Inflow Total		27,000	19,000	21,000	40,000	
Outflow Cash						
Rental		(1,000)	(1,500)	(1,500)	(1,500)	
Payroll		(3,000)	(4,500)	(4,000)	(6,000)	
Utilities		(2,500)	(2,500)	(2,500)	(5,000)	
Professional Services		(5,500)	(500)	(2,000)	(500)	
Materials		(12,000)	(12,000)	(12,500)	(14,000)	
New equipment					(20,000)	
Outflow Total		(24,000)	(21,000)	(22,500)	(47,000)	
Net Cash Flow		3,000	(2,000)	(1,500)	(7,000)	
Beginning Balance		1,000	4,000	2,000	500	
Ending Balance	1,000	4,000	2,000	500	(6,500)	

Warning!

Plan may not be viable

Step 3 – Add Month 5

		Actual	Actual	Estimate	Estimate	Estimate
		Month 1	Month 2	Month 3	Month 4	Month 5
Inflow Cash						
Revenue		12,000	19,000	21,000	40,000	49,000
Loan		15,000				
Inflow Total		27,000	19,000	21,000	40,000	49,000
Outflow Cash						
Rental		(1,000)	(1,500)	(1,500)	(1,500)	(1,500)
Payroll		(3,000)	(4,500)	(4,000)	(6,000)	(6,500)
Utilities		(2,500)	(2,500)	(2,500)	(5,000)	(5,500)
Professional Services		(5,500)	(500)	(2,000)	(500)	(500)
Materials		(12,000)	(12,000)	(12,500)	(14,000)	(14,500)
New equipment					(20,000)	
Outflow Total		(24,000)	(21,000)	(22,500)	(47,000)	(28,500)
Net Cash Flow		3,000	(2,000)	(1,500)	(7,000)	20,500
Beginning Balance		1,000	4,000	2,000	500	(6,500)
Ending Balance	1,000	4,000	2,000	500	(6,500)	14,000

Warning!

Evaluate potential solutions:

- Delay equipment
- Lease or find used
- Short term loan

TIPS

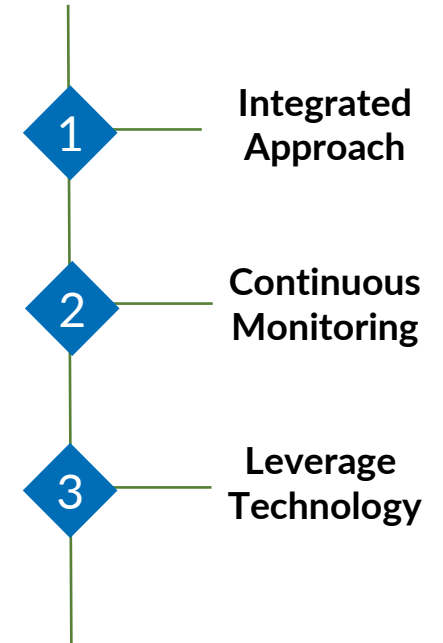
- **Plan Ahead:** Develop your strategy before you actually need it
- **Keep it Simple:** Use a basic template and tailor to your specific needs. Be sure to incorporate realistic scenarios
- **Refine Your Process:** Test your approach and make adjustments as needed – practice makes perfect

If you have a complex business or need to derive cash flow from Profit & Loss forecasts, consult your CPA for assistance

Key Takeaways

Effective Financial Management for Business Success

- **Develop an Annual Financial Plan**
 - Create a Profit & Loss forecast for the fiscal year.
 - Implement monthly tracking to monitor financial performance and adjust as needed.
- **Maintain Positive Cash Flow**
 - Prioritize cash flow to enable strategic investments and sustainable growth.
 - Introduce a 3-month rolling forecast to anticipate and respond to financial changes effectively.



Strategic Business Practices for Growth

- **Establish a Comprehensive Annual Plan**
 - Set ambitious yet achievable business targets to guide your strategy.
- **Drive Profitable Sales**
 - Focus on sales initiatives that maximize profit margins.
 - Enhance the value of your products and establish pricing strategies aligned with market demand and profitability goals.
- **Adopt Proactive Management**
 - Continuously seek opportunities for cost improvement.
 - Strengthen relationships with key stakeholders to support long-term growth and success.

SCORE mentors can help you

- Find SCORE resources for small businesses at www.score.org/templates-resources
- Find more SCORE live and recorded workshops and courses at www.score.org/get-business-training
- Book an appointment with a SCORE mentor at www.score.org/find-mentor



Template – score.org/templates&resources/cash flow

12 Month Cash Flow



Cash Flow (12 months)

Enter Company Name Here

Fiscal Year Begins: Jan-2

	Pre-Startup EST.	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Total Item EST
Cash on Hand (beginning of month)		0	0	0	0	0	0	0	0	0	0	0	0	

CASH RECEIPTS

Cash Sales														
Collections fm CR accounts														
Loan/ other cash inj.														
TOTAL CASH RECEIPTS	0	0	0	0	0	0	0	0	0	0	0	0	0	
Total Cash Available (before cash out)	0	0	0	0	0	0	0	0	0	0	0	0	0	

CASH PAID OUT

Purchases (merchandise)														
Purchases (specify)														
Purchases (specify)														
Gross wages (exact withdrawal)														
Payroll expenses (taxes, etc.)														
Outside services														
Supplies (office & oper.)														
Repairs & maintenance														
Advertising														
Car, delivery & travel														
Accounting & legal														
Rent														
Telephone														
Utilities														
Insurance														
Taxes (real estate, etc.)														
Interest														
Other expenses (specify)														
Other (specify)														
Other (specify)														
Miscellaneous														
SUBTOTAL	0	0	0	0	0	0	0	0	0	0	0	0	0	
Loan principal payment														
Capital purchase (specify)														
Other startup costs														
Reserve and/or Escrow														
Owners' Withdrawal														
TOTAL CASH PAID OUT	0	0	0	0	0	0	0	0	0	0	0	0	0	
Cash Position (end of month)	0	0	0	0	0	0	0	0	0	0	0	0	0	

THANK YOU FOR YOUR PARTICIPATION

Questions?



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